

mistakes in spelling and grammar in the text, which provide another red flag beyond the guaranteed returns. This is the equivalent of Law's Louisiana swampland.

CORNERING

Cornering a market refers to when one or more investors work to drive the price of an asset up or down significantly. In the cryptoasset space, they are frequently referred to as “pump and dump” schemes, where loosely coordinated groups work to pump up the price of a cryptoasset, exploiting crowd behavior, before quickly selling to realize their profits. As with the other examples in this chapter, cornering is nothing new in the history of markets.

In 1869, Jay Gould, who was a prototype of the “Robber Baron” and one of the most vilified men in nineteenth-century America,²³ decided he wanted to corner the gold market.²⁴ Cornering the gold market was a particularly dangerous proposition at the time, as gold remained the official currency of international trade, and the value of gold in the United States was largely dictated by the federal government.

When Ulysses S. Grant became president of the United States in March 1869, the country was still dealing with the ramifications of the Civil War that had ended four years prior.²⁵ One of the biggest problems was the national debt the country had accrued in fighting the war, which led many to doubt the government's credit worthiness. To re-instill faith, one of the first actions Grant took was to sign a law that stated